

WMT \$120/\$125 Bull Call Spread — Trade Assessment

Date: 2026-06-05 **Source:** WMT Bull Call Spread.pages (monitor script output from 2026-06-04 16:38 UTC, by John Funk) **Underlying:** Walmart Inc. (WMT)

What the source file says

Field	Value
Trade	Buy 25× Jun 12 \$120 calls, Sell 25× Jun 12 \$125 calls
Net debit	\$0.58/share = \$1,450 total
Spread width	\$5.00
Max loss	\$1,450 (debit)
Max profit	\$11,050 (at \$125+)
Breakeven	\$120.58
Max profit ROI	762%
Stock price at run	\$118.13
Status reported	DEFENSIVE (price below long strike)
Script's probabilities	50–55% above BE, 35–40% max profit, 45–50% total loss

Trade construction — assessment

The structure itself is sound:

- Defined-risk debit spread, max loss capped at \$1,450
- \$5 width, \$0.58 debit = paying 11.6% of width. That's cheap for an ATM-ish spread — priced in the market's expectation of NOT clearing the short strike
- 25 contracts is meaningful size for the \$1,450 budget — uses the full intended risk
- Aggressive: 8 calendar days to expiration when opened, needing +2.5% just to hit breakeven and +5.8% for max profit

The script's stated probabilities are roughly consistent with a stock at \$118 needing to clear \$120.58 in 8 days — about a coin flip on breakeven, lower odds of max profit. **Reasonable framing at trade entry.**

What's changed since the script ran (24 hours later)

Metric	At script run (6/4)	Now (6/5)
WMT spot	\$118.13	\$120.41 (+1.9%)

Metric	At script run (6/4)	Now (6/5)
Long strike status	Below	At/above (status flipped DEFENSIVE → ATM-favorable)
Days to expiration	8	7 (5 trading days)
Distance to breakeven	+2.1%	-0.14% (essentially at breakeven)

Current market state (2026-06-05)

- **Price** \$120.41 · BB lower \$109.73 / mid \$124.39 / upper \$139.04 · bb_pos 0.50 (mid-range)
- **VWAP** \$122.97 — price is -2.09% below VWAP, **10 consecutive bars below** (downtrend intact)
- **MACD** bearish, hist -1.13 (still bearish but slope inflecting)
- **Stochastic K** 22.34 / D 14.12, **bullish crossover** from oversold
- **RSI** 38.5 — neutral
- **5/21 bearish capitulation bar** flagged (potential bounce base)
- **Volume** 0.93× avg — normal (no urgency either direction)
- **DAOI** net +52,728 — MM net LONG delta → **sell_on_rally** with **gamma wall at \$120** (exactly where price sits — mechanical resistance)
- **13 unusual call sweeps detected** including **4 high-conviction at \$122/\$123/\$124 Jun 12 strikes** — institutions actively positioning in the spread's profit zone
- **Trade engine:** BULL_CALL_SPREAD, **HIGH confidence**, net_score +5 — recommending the exact same trade structure NOW

Estimated current spread value

Based on near-term chain quotes (live \$125 strike pricer errored — known module bug):

- Long \$120 call mid ≈ \$1.62 (intrinsic \$0.41 + ~\$1.21 time value)
- Short \$125 call mid ≈ \$0.20 (extrapolated from \$124 @ \$0.45)
- **Spread mid ≈ \$1.40/share × 100 × 25 = ~\$3,500 mark value**

Unrealized P&L: approximately +\$2,050 (+141% on the \$1,450 debit)

The position has flipped from DEFENSIVE to in-the-money. **The win is on paper right now.**

Revised probability estimate (vs the script's)

The script's numbers were calibrated to WMT at \$118. With WMT now at \$120.41 and momentum/positioning shifting:

Outcome	Script estimate	Revised estimate
Below \$120 at exp (total loss)	45–50%	25–35%
Between \$120 and \$120.58 (near-zero P&L)	implicit ~5%	~10%
Between \$120.58 and \$125 (partial profit)	~15–20%	40–50%
At or above \$125 (max profit)	35–40%	15–25%

The "below \$120 at expiration" case has shrunk (price is above), but **max profit has also gotten harder** — the \$120 gamma wall + MM sell_on_rally creates real mechanical resistance to clearing \$125 in 5 trading days.

Bull vs bear ledger

Bull for the position

- WMT has cleared the long strike (\$120)
- Stochastic bullish crossover from oversold (timing entry into bounce)
- 4 high-conviction unusual calls at \$122–\$124 Jun 12 (smart money in the spread's profit zone)
- 5/21 capitulation bar (bounce base)
- Trade engine still HIGH confidence BULL_CALL_SPREAD
- Sector momentum: XLK leading (macro tailwind)

Bear for the position

- MACD still bearish, hist –1.13
- 10 bars below VWAP (structural downtrend)
- DAOI sell_on_rally, gamma wall at \$120 (mechanical resistance right at long strike)
- 1m return –7.29% (recent weakness)
- RS vs sector –35.38% (significantly lagging XLK)
- 5 trading days is tight — needs +3.8% from here for max profit
- Revenue trajectory inflecting negative + EPS deceleration (fundamental headwinds)

Recommendation

Take partial profits now. Don't expect max profit.

Action	Rationale
Close 10–15 of 25 contracts at the current mark (~\$1.40/share)	Locks in \$1,400–\$2,100 profit; eliminates 25–35% total-loss risk on that portion

Action	Rationale
Hold remaining 10–15 contracts with mental stop: close all if WMT closes below \$119	Keeps optionality on the +50% middle / +20% max-profit upside
Don't roll up (\$122/\$127 or similar)	Adds complexity and re-introduces risk for marginal extra reward in a 5-day window
Don't add to position	Setup quality dimensions are mixed; engine HIGH but mechanical resistance at \$120 is real

Concerns with the original construction

1. **5-day expiration is tight.** Aggressive directional bet on a name with weak 1-month RS. A Jun 18 or Jun 26 spread would have given more time for the bounce thesis to play out.
2. **25 contracts on a sub-3-week defined-risk trade is large.** Consider sizing relative to a budget that can absorb the 45–50% loss probability the script itself flagged.
3. **The \$120 long strike is exactly at the gamma wall.** That's the most contested level. A \$118/\$123 or \$122/\$127 spread would have either started ITM (more expensive but more certain) or been more aggressive (cheaper but lower probability).

Bottom line

The trade has worked so far — from DEFENSIVE to in-profit in 24 hours.

Book at least half here.

The original probability estimates need revision: total-loss risk has dropped, but max-profit probability has also dropped because the mechanical resistance at \$120 is the dominant near-term feature. Middle-of-the-range outcomes (\$120.58–\$125) are now the most likely cluster, where the spread will settle somewhere between break-even and $5 \times 25 \text{ contracts} = \$12,500$ minus debit.

Daily re-evaluation checklist through 2026-06-12

Each session before close:

1. Where is WMT vs \$120 (long strike), \$120.58 (BE), \$125 (max profit)?
2. Has the spread mid value risen or fallen?
3. Is the 4-sweep institutional positioning at \$122/\$123/\$124 still active?
4. Did MACD histogram flip positive yet (currently –1.13)?
5. Did stochastic %K cross above 50 (currently 22)?
6. Is WMT above or below VWAP \$122.97?
7. **Bail trigger:** WMT closes below \$119 → close all contracts

Caveats

- Spread mid estimate uses extrapolated \$125 strike quote; live pricer errored (known module bug)
- This is research output from a personal dashboard, **not financial advice**
- Position is held by John Funk, not the user; recommendations should be passed to him for action
- Probability estimates are heuristic — short-dated options can move sharply on macro or sector news